

From Volume to Value:

MANAGING THE VALUE-ADD RESELLER CHANNEL AT CISCO SYSTEMS

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As customer needs become more sophisticated, markets typically evolve from selling standardized products to customized solutions. For example, the market for networking products has evolved from devices that route traffic through the network (Routers) and devices that establish and terminate connections in the network (Switches) to the sale of more complex solutions such as Voice-over-Internet-Protocol (VoIP) that allow voice to be transmitted through the network as data; devices that protect the network from unauthorized access (Security); and technology that integrates voice, video, data, and mobility in the network (Unified Communications).¹ The design and installation of these more complex solutions are typically led by channel partners (Value-Add Resellers, also known as VARs), who are closer to understanding customer needs. VARs integrate hardware, software, and third-party products to deliver solutions that are customized to meet specific end-user requirements. VARs also provide pre- and post-sales services such as planning, design, installation, support, remote monitoring, and management.

The design of a channel management system that enables value-add channel partners such as VARs to successfully sell customized solutions to end users is an important strategic decision for managers. While volume-based incentive systems are popular, it is not clear that this compensation structure is appropriate for the VAR channel. After all, if the company is interested in value-add activities, why reward volume? VARs are typically not given exclusive territories since customers often want a choice of resellers, resulting in price competition. This leads to profitless sales with VARs not making a return on their upfront investment and under some conditions exiting the market altogether. What are the features of a channel system that ensure that VARs make an appropriate return on their investment? What end-user outcomes should

a firm monitor and what investments should a firm make to enable VARs to achieve these outcomes? These are some of the crucial questions for managing value-add partners.

Anticipating this market evolution to complex solutions, Cisco Systems, the worldwide leader in networking products and services, evolved its volume-based channel management practices to a value-based model that provided equal rewards to partners with similar capabilities regardless of how much Cisco product each sold. This article provides an in-depth view of the value-based channel management system used by the company.² This system has the following components: identifying opportunities for channel value-add; architecting channel programs to enable partner value-add; tying financial rewards to partner value-add outcomes; and exercising significant discipline to manage field pressures for volume-based rewards and for diluting certification requirements.

In the value-add framework, the following key output metrics are monitored: extent of partner investment in Cisco technologies; sales of key Cisco advanced technologies; end-customer satisfaction with the partner on Cisco transactions; and partner profitability. As part of our study, we reviewed data on these four key metrics over a seven-year period. The metrics show that partners: are increasing and maintaining their upfront and ongoing investments in training and certification; are selling advanced technologies as evidenced by the increasing share of these in Cisco's mix of sales; are able to sell advanced technologies effectively, as customer satisfaction with partners has been increasing and is very high; and are able to sell advanced technologies profitably by retaining margins that compensate for their technology investment. Today, over USD \$30 billion worth of sales are driven through 280,000 individuals in 55,000 independent VARs, systems integrators, service providers, and network consultants managed through the system described here.

One of the key contributions of this study is that it provides managers with a concrete framework for designing and implementing a channel system that enables a high level of intangible value-add from channel partners. The metrics show the increasing success and evolution of the model over time.³ Extant managerial and research frameworks have tended to focus on situations where channel partners add basic tangible value-add such as providing a wide assortment, bulk breaking, and inventory availability. A key lesson for managers is that the value-based model seems to provide a workable approach when companies are faced with the need for channel partners to make upfront investments but are not provided exclusive territories in which to recover their investments. Instead, they recover their investment through customized solutions.

Another lesson that comes from the experience of the company is that volume-based compensation does not align well with the value-based model.

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The volume model allows larger volume players to drive out smaller partners, who may be providing significant value but do not enjoy the volume discounts that larger players may enjoy. An additional key lesson is that channel arrangements and the rewards for partners need to be flexible so that they can evolve with market conditions⁴ and the technology life cycle. Managers can learn how to create and evolve such a model based on the experience of Cisco Systems. The relative importance of various components of the channel management system, the blending of rebates and discounts, and the use of customer satisfaction measurements for channel monitoring are all topics that could benefit from future research.

The Past: Channel Structure and Volume-Based Compensation pre-July 2000

In July 2000, one of the authors of this article was tasked to review the reseller channel partner strategy at Cisco Systems and recommend changes based on the challenges the company was experiencing with partners at that time. In addition, he was asked to ensure that the channel management system encouraged partners to develop capabilities in new advanced technologies that were going to take the company into more complex solutions beyond network routers and switches. This review included obtaining information about the current and future product strategy, interviewing channel partners with regard to what was working (or not) with the current channel model, and determining what channel structure, incentives, and performance metrics would lead to future success.

Cisco Offerings, Channel Structure, and Incentives

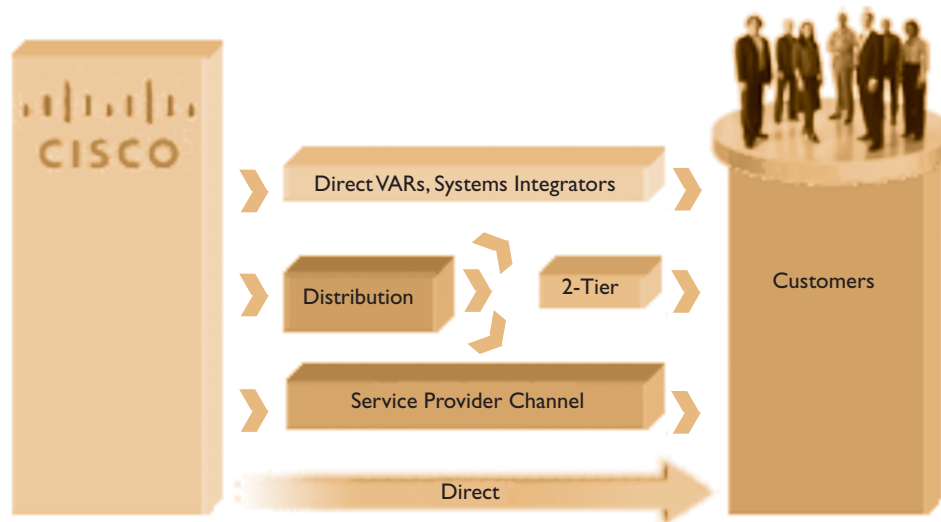
Cisco Offerings

Cisco's early product lines consisted of high-end routers for local area networks (LANs). By 1993, Cisco had diversified into offering switches for Internet applications and, by 1997, the company had achieved an approximately 80 percent share of large-scale routers, LAN switches, and wide area network (WAN) switches. The company had also expanded its product line to include networking solutions, Internet appliances, and network management software. Between 1995 and 2000, the company's revenue had grown annually at an average rate of 53 percent.⁵

Channel Structure

Figure 1 provides an overview of the channel structure used by Cisco Systems. The company used a direct sales and delivery model for large, global, or strategic customers, also known as key accounts.⁶ As the market for networking products expanded, the company expanded its reach with value-added resellers who led the design and installation of networking solutions. The VAR route to market included both distributors and VARs. Distributors like Ingram Micro (<www.ingrammicro.com>) purchased product from Cisco, carried inventory,

FIGURE 1. Cisco's Channel Structure Pre and Post 2001



Note: Excludes Linksys, Scientific Atlanta, and direct Service Provide Infrastructure sales.

Source: Cisco Systems, Worldwide Channels.

and supplied product to VARs along with other services such as configuring products, logistics, and financing. VARs (also called 2-Tier) purchased product from distributors and installed networking solutions for customers. VARs above a certain size (also called Direct VARs or DVARs) were able to make investments in electronic ordering applications that allowed them to order products directly from Cisco. Sometimes the DVARs also ordered from distributors due to product lead-time considerations (see cross arrows in Figure 1). In addition, some DVARs were service providers who had a dual relationship with Cisco: they purchased significant Cisco equipment for their internal infrastructure needs, and they also resold Cisco products to end customers in order to deliver their offerings.

Even though VARs led the effort in delivering products and services to customers who were not key accounts, Cisco was actively engaged in creating demand for its offerings in all segments of the market. The company's large direct sales force called on customers in the enterprise and commercial segments and worked with VARs in these non-key accounts to deliver the company's offerings—a practice that continues today. In addition, regular marketing campaigns from Cisco generated leads that were distributed to VARs for follow-up.

A key feature of this channel structure was the lack of exclusive geographic territories for VARs. As a result, customers typically had the choice of purchasing products and solutions from multiple VARs within any geographic area. Another feature was the unbundling of channel functions.⁷ Inventory holding, logistics support, and financing, important traditional aspects of channel value-add, were performed by distributors. VARs focused on customer needs

assessment, solution design, implementation, and after-sales services, the intangible aspects of the channel value-add.

Channel Incentives

Prior to July 2000, Cisco compensated VARs via a discount from list price on every product or service sold. The discounted price was the wholesale price to the VAR—and it was available to VARs whether they purchased product directly from Cisco or through a distributor (distributors reduced this discount only slightly to cover their cost and margin needs). The VARs then determined the selling price at which they sold the product to end users. The difference between the selling price and the wholesale price was the margin that VARs retained for the transaction.

The discount off list offered by Cisco varied with the volume of sales achieved by the VAR during an annual period. Such a volume-based discount structure, even today, is not uncommon among information technology vendors. A very simplified and hypothetical example of a volume-based compensation model might look like the depiction in Table 1.

TABLE 1. Sample Volume-Based Compensation Model

Partner Sales Volume	Discount from List
\$200,000–\$1M:	30%
\$1M–\$5M:	35%
\$5M–\$20M:	40%
Over \$20M:	45%

These volume discounts are intended to motivate channel partners to sell more of the vendor's products and services⁸ and enable the vendor to attain market leadership. This is extremely crucial in high-tech markets, where a winner-take-all mentality prevails.⁹ A volume-based model is also analogous to the typical reward structure that is used for a direct sales force. Companies establish sales quotas for their sales force every year and increase commissions when the sales teams exceed their quota. For example, a simplified quota of \$1M may have a 6 percent commission and anything sold in excess of \$1M during the subject year would instead be paid an 8 percent commission.

Key Problems under the Volume-Based System

Lack of Partner Specialization and Expertise

A review of the Cisco channel in 2000 showed that most partners were selling Cisco products without sufficient expertise. Business was beginning to be concentrated into larger partners, e.g., even though the company had over 5,000 partners globally, the top 10 partners accounted for over 30 percent of the total bookings worldwide. The big partners were getting bigger by passing through their higher discount to win additional business and some of the smaller high value-add partners were having difficulty competing. There was little opportunity for partners to add value and retain margins.

TABLE 2. Direct Sales Force vs. Value-Add Resellers

	Direct Sales Force	Value-Add Resellers
Sell only Cisco products	Yes	No
Exclusive geographical territories	Yes	No
Sales quotas	Yes	No
Compete in an opportunity with other entities with the same capability	No	In almost every opportunity
Upfront investments in learning Cisco technology	Mandatory	Optional
Can competitive pressures lead to profitless sales?	No	Yes
Need for monitoring quality	Important	Critical

Lack of Partner Enablement and Certification

The company was also planning to introduce new advanced networking technologies and needed to make sure that the partners were motivated to invest in learning these and to be an effective channel. However, the company did not have a formal training and certification structure that would enable partners. In addition, the company did not have a good understanding of partner economics with regard to margin and profitability on their Cisco business, including how much money partners earned for performing specific value-add activities.

Structural Incompatibility with the VAR Channel

The volume-based compensation for VARs had been fashioned on the compensation approach used for the captive direct sales force. However, the direct sales force and the VAR channel are structurally very different, and when this volume-based model was deployed in the VAR channel, it compromised value.

Table 2 summarizes the structural differences highlighted in the review. The direct sales force was captive, sold only Cisco products, and had exclusive territories. Accounts, territories, and /or products were typically allocated to specific individuals and they were measured with retiring their sales quotas based on these “exclusive” target markets. The customer had only one choice in terms of the sales person from whom they could purchase products. The volume-based compensation system combined with sales quotas focused the sales force on maximizing sales to their assigned accounts. Even when the company discounted its products, the sales person still obtained his/her commission on the sale. On the other hand, VARs used by Cisco were not direct employees, carried products from other manufacturers, and did not have exclusive territories.

The review also indicated that exclusive geographical territories for VARs would not serve Cisco's customers well. For complex networking technologies, customers' needs were often not well defined in the beginning and there was uncertainty as to how they could optimize the use of the technology. The customer was best served by having access to a broad range of specialized partners providing a diversity of offerings. Making a diversity of offerings available to customers was a key channel design requirement for complex technologies that could be packaged in a variety of solutions.

Profitless Sales and Exit of Value Players

The flip side of non-exclusive territories was that VARs often competed for the same customer. The volume-based compensation model was accentuating these competitive pressures and unleashing a dangerous dynamic. In many instances, aggressive pricing by high-volume, lower value-add discounters caused the street price to drop. End customers were then demanding these lower prices from all partners, including those who received smaller discounts at a lower volume tier. These low-volume, higher value-add partners could no longer compete and the market was aggregating around the larger volume players.

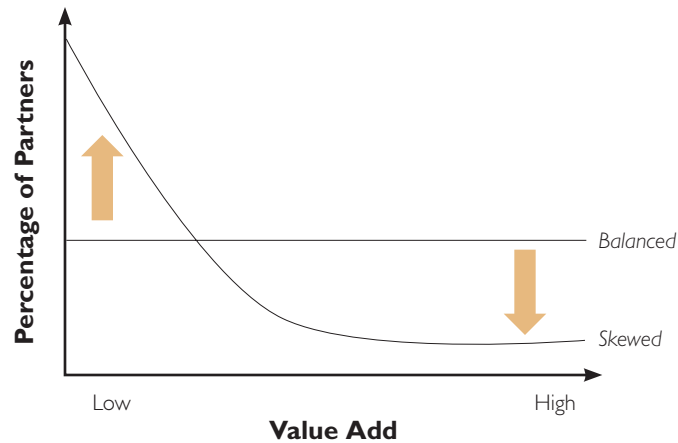
The situation was further compounded as high value-add partners cut back on the upfront investments needed to deliver high-quality solutions. Customers suffered with low value-add offerings from the company's channel partners. Hence, they wanted to purchase directly from Cisco because the channel had become just a way for them to obtain the "raw" product with very little value-add being provided by the reseller. In the end, the VARs also were losing interest in developing added-value solutions because of a lack of profit caused by the high-volume fulfillment partners.¹⁰

Figure 2 illustrates this dynamic at work. For illustrative purposes, in the beginning, the company might have a balanced portfolio of fulfillment partners and value-add partners selling a similar volume or products and enjoying similar discounts. This is illustrated by the horizontal line showing a uniform distribution of partners on the value-add line. However, once partners, typically the fulfillment-focused partners, start achieving higher volumes and get a higher level of discounts, they can afford to reduce the street price as they are not investing in value-add and can operate at lower margins. Unfortunately, this establishes a lower street price for the product. Customers then demand this same lower price from the value-add partners, who cannot meet it because of their lower discount tier and higher investments in value-add. Over time, the value-add players then exit the market as they cannot compete with the higher volume players. In the end, this results in the skewed distribution of capable partners.

Inability to Stabilize Partner Margins

The company found that attempts at margin stabilization or additional rebates were not effective in the context of an underlying structure that provided higher discounts to larger players and resulted in lower street prices for all. In some cases, just one partner had the potential to destroy the channel profit-

FIGURE 2. The Impact of a Volume Based Model on the Channel Partner Value-Add



Note: The brown arrows highlight the effects of a Volume Based Compensation Model

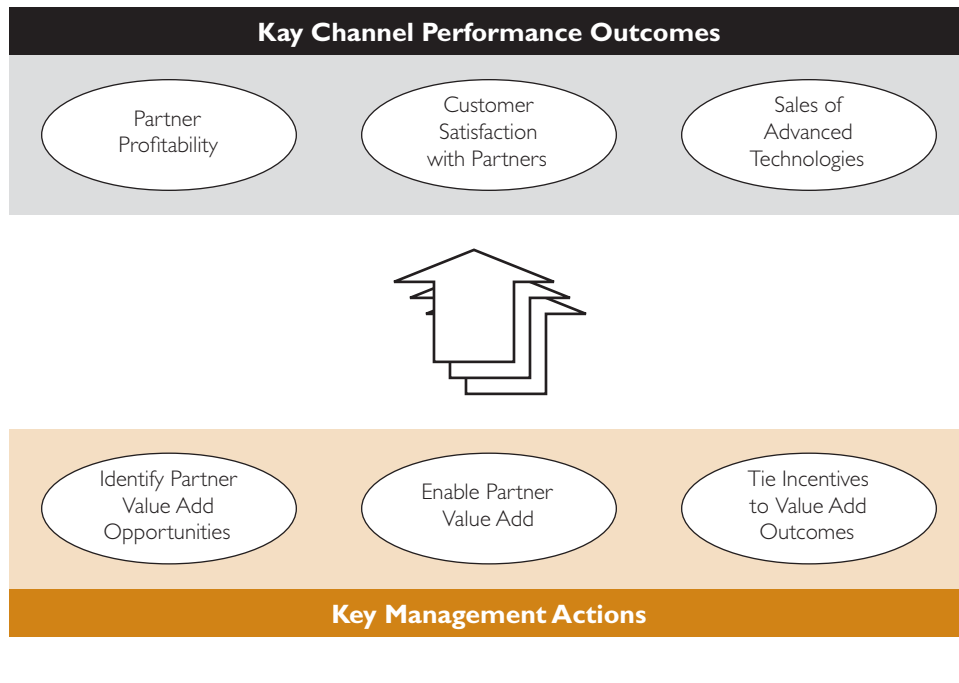
ability for the entire channel by continually offering a lower price to end customers. Channel managers also found that in extreme downturns, as purchasing power switched to customers, the resulting price pressure was putting small partners out of business.¹¹

Weakening Customer Experience

Customers were unable to discern which partner had what type of expertise. The overall customer experience was beginning to suffer. Although Cisco was always focused on measuring customer satisfaction and rewarding its own field staff based on this, partners were not being measured on the customer satisfaction metric at that time. So even though the customer experience with partners was weakening, measurements and reporting were not in place to alert executives to this trend.

In summary, there was very little “V” or “A” being provided by the VARs to end customers, as they were focused on achieving higher volume discounts through product fulfillment. However, Cisco was in the “tornado” phase of the networking technology cycle, with revenue increasing at 55 percent per annum between FY 1999 and FY 2000, and the company’s stock hitting an all-time high of \$74.94 on April 7, 2000.¹² Even with mere product fulfillment, some partners were profitable due to the enormous demand for Cisco products rather than the value-added primitives in their business models.

FIGURE 3. Key Activities and Outcomes in the Value Based Framework



Post-2001: Value-Based Channel Management

Cisco designed and switched to a value-based channel management model in March 2001. It was the first time any major IT company had discarded the legacy volume-based model to manage channel partners. Figure 3 illustrates key channel management initiatives and outcomes in the value-based model. Identifying value-add opportunities for channel partners, enabling partners to self-segment and certifying their capabilities through co-branding, and designing an incentive system that can reward value-add activities are the core initiatives of the value-based channel management system. Customer satisfaction with channel partners, partner profitability, and sales and market penetration for key technologies are the key outcomes to measure success. Table 3 summarizes key differences between the volume and value-based models.

Identify Partner Value-Add Opportunities

In his book *Crossing the Chasm*, Geoffrey Moore notes that many channel partners in high-tech markets can both create demand and fulfill it, but rarely do both.¹³ Both dimensions of value are crucial, but the demand generation capabilities of partners are often underappreciated and inadequately nourished. Cisco's channel managers note the many different ways in which channel partners contribute to demand generation. Partners are often deeply embedded in the customer's decision-making processes. They typically enjoy significant face

TABLE 3. Volume vs. Value Based Channel Management

	Volume Based Channel Management (The Past)	Value Based Channel Management (Post 2001)
Exclusive geographical territories	No	No
Partner quotas	No	No
Requirement to be trained through technology specializations to gain access to subject products	No	Yes
Measurement of end-customer satisfaction with partners	No	Yes
Requirements to meet minimum customer satisfaction targets to maintain Cisco certification	No	Yes
Identification of key customer facing value-add behaviors to be rewarded	No	Yes
Reward structure	Discount for volume tiers	Discount for value-added behavior (no volume based component)
Holdbacks, e.g., technology rebates tied to customer satisfaction targets paid outside the transaction cycle	No	Yes

time with their customers and develop rich insights into the customer's business situation and technology needs. With this knowledge, a VAR can create a solution offering specific to end customers who may not otherwise have any interest in the company's technology, especially the newer technologies that the market is unaware of.

While Cisco's outbound advertising (pull marketing) creates awareness of networking products and solutions, VARs who are trusted advisors can play a significant role in moving the customer from awareness to interest and action. Even though Cisco has commercial account managers and business development managers who conduct market development and demand generation activities (also pull marketing) with end customers, VARs can still identify opportunities that are not directly visible to Cisco.¹⁴

The bottom line is that contrary to conventional wisdom, Cisco channel managers have observed that partners can be quite effective at demand generation activities. Unfortunately, demand creation activities by channel partners are similar to a public good.¹⁵ Once a partner provides this type of value, another partner can "free ride" on these efforts, and the net result would be that all partners revert to a more passive mode. The market would then be underpenetrated, since Cisco cannot compensate for the lack of partner demand creation activities

with additional pull marketing efforts. The challenge for Cisco is to create an environment where partners proactively focus their efforts on identifying opportunities that are not visible to the company.

Partners can also help upgrade the large installed base of Cisco equipment to new generations of technology. These upgrades are important to the growth of all Cisco business units, especially those that sell switching and routing equipment. Partners deliver solutions by providing implementation services for various advanced technologies such as Unified Communications and Data Centers (technology that supports the storage and retrieval of data in remote locations through the network). Finally, the channel can also develop add-on solutions that enhance the value of Cisco technology.

Thus, hunting for new opportunities, upgrading the installed base, investing in advanced technologies, and delivering solutions were the key value-add dimensions identified by Cisco. For another company or industry, the value-add dimensions might be very different. However, they need to be carefully specified so that the channel partners have the opportunity to be rewarded for the subject value provided to the end customer and not be at a disadvantage from partners who may not be adding such value.

Enable Partner Value-Add

In the channel management structure in place in July 2000, many channel partners were selling a wide variety of Cisco products but lacked critical expertise in these product lines. Since partners were selling many technologies, they did not have the time to focus and learn specific technologies. Even partners who had made an investment to learn particular technologies were finding it difficult to credibly communicate their expertise. As a result, some partners were losing interest in developing value-added solutions around Cisco technologies, customers were confused about which partners were the real experts, and the customer experience with buying and implementation was beginning to suffer.

Cisco approached this problem by developing a framework that enabled partner value-add through a structured program. A key part of this framework was partner training and certification. Effective training increased partner expertise and this in turn led to improvements in customer experience in terms of the delivered technology. By certifying partners, Cisco formally acknowledged their expertise and allowed partners to attach the Cisco brand (co-branding) that enhanced their credentials. Providing a clear signal to customers about partner expertise helped reduce customer confusion and made it easier for customers to buy technology. A second-order effect of the framework was that as partners focused on particular technologies, they developed value-added solutions for these technologies to differentiate themselves from other Cisco partners. In implementing this initiative, Cisco focused on: making training efficient and certification rigorous; giving a choice to partners in terms of breadth or depth of expertise; providing co-branding for partners based on the training achieved;

and encouraging partners to develop their own solutions that added on to Cisco products and services.

Create Efficient Training and Rigorous Certification Programs

Efficiency in training requires balancing competence and effort. Competence is about the channel partner's capabilities in terms of both the sale and delivery aspects of the product, including full lifecycle technical competence. In the case of Cisco, this includes:

- *Technical Knowledge:* The partner must be familiar with all the features related to the product, including any limitations and the target technical environment that it is most suited for.
- *Product Positioning:* This includes the ability to identify the target market and position the product correctly in the target segment. The partner must be able to assess and articulate the benefits related to the target customer. This minimizes waste in the sales and marketing efforts of partners and greatly impacts partner profitability.
- *Lifecycle Services Offering:* Successful deployment of Cisco offerings requires an end-to-end delivery process that includes planning, selling, installing, and operating competencies. Educating the channel partners on all of the pre-sales and post-sales services opportunities results in both a successful deployment and higher value offering by the partner.

In Cisco's vernacular, a partner who has fulfilled the training requirements and has obtained a certification is "specialized."¹⁶ Examples of Cisco specializations are Wireless LAN (networking technology that supports wireless access to a local area network), Security, Unified Communications, Data Center, and Routing and Switching. In each specialization, partner employees are typically assigned to three types of roles: Account Manager, Sales Engineer, and Field Engineer. There are specific learning tracks associated with each of these roles. To be recognized as specialized, partner employees must fill these roles and annually pass exams corresponding to the subject role.

Cisco provides specialization training content for partners as free e-learning or as instructor-led training from one of several contracted learning companies. This training is available for partner employees to learn the content and help them prepare for an exam. The use of e-learning helps manage the costs and effort that a partner has to bear in obtaining the training. In Cisco's approach, training is not mandatory as long as the employee passes the appropriate exam. The company continuously updates the training content and the corresponding exams. To ensure that employees stay current, Cisco requires that these employee certifications be renewed annually.

A review of the documents on Cisco's partner web site provides some perspective on the investments that Cisco has made in partner training and the breadth and depth of training programs. The company makes hundreds of courses available free through the Partner E-Learning web site. These courses are available in multiple languages around the world and cover both sales and

technical training for the over 80,000 Cisco Certified individuals currently employed by the company's channel partners.

Cisco's experience is that training that is not validated with competence testing is not effective. Validation "certifies" the underlying "brand promise" to the end customer. Competence testing can sometimes suffer due to field pressures, which include requests to skip validation because of an impending customer purchasing deadline or the need to meet a sales goal. The rigorousness of training and validation is also sometimes seen as "getting in the way of the partner closing business." Cisco controls these behaviors by using a third-party testing service for testing partner employees and strictly enforces the requirement before granting any specialization badge to the partner.

Enable Partners to Benefit from Both Breadth and Depth of Expertise

Figure 4 illustrates the current framework used by Cisco to enable partners to benefit from the breadth and depth of certifications. The specializations are broken down by levels of depth: for example, a partner can choose to specialize in Unified Communications at the Express, Advanced, or Master level. Partners can choose to become deeply specialized in one technology (e.g., Master Unified Communications or Master Security) or be recognized as a Gold partner capable of delivering a breadth of technologies: Security (Sec.), Wireless LAN (WLAN), Unified Communications (UC), and Routing and Switching (R&S) without requiring the same depth of capability as a Master partner would have in any of the individual technologies.

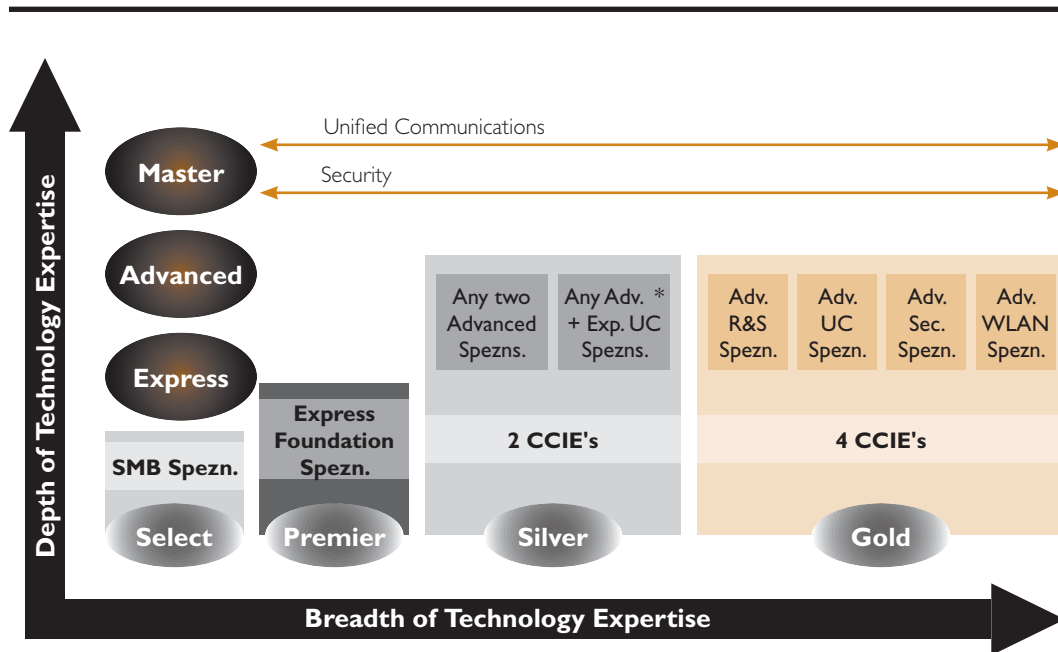
Provide Co-branding for Partners

Cisco has created a partner branding program to provide a clear signal to the marketplace regarding the partner's capabilities. Certified partners can attach the Cisco brand to their own brand. Customers can use Cisco's partner locator portal (<www.cisco.com/go/partnerlocator>) to identify partners and their capabilities by geographic region. As Cisco itself is one of the leading brands in the world (No. 17 in *Business Week's* 2008 list of the top 100 brands in the world), its co-branding of partners provides enormous credibility in the eyes of the end customer. The primary objective of such co-branding is to verify to the end customer that the partner is capable. It is a certification. A particular partner can be much larger than another partner, but Cisco is signaling that they both have the same certified capability, regardless of their size. This helps partners compete on value rather than volume.

Encourage Partners to Develop Their Own Solution Offerings

A second-order effect of developing partner expertise is allowing partners to focus on creating services and applications that transform Cisco offerings into a solution that is relevant to the business needs of the target customer. Such solutions enhance the appeal of the underlying Cisco technology. Hence, this is a very important opportunity for partner value-add and differentiation. The actual solution development efforts are partner led, but Cisco proactively facilitates a

FIGURE 4. Cisco's Partner Certification Framework Enables Partners to Benefit from Both Breadth and Depth of Expertise



Notes:

Advanced (Adv) Advanced curriculum for partners to understand a specific networking technology (e.g., UC, R&S, Security or WLAN)

CCIE Cisco Certified Internetworking Expert—individual badge that provides the highest level of recognition to a networking engineer who has completed Cisco training and testing

Express (Exp) Entry-level curriculum for partners to understand a specific technology e.g. UC or Foundation (which includes entry level training on security, wireless, routing and switching technologies).

Gold Cisco certification badge for a partner based on completing all four Advanced Specializations (UC, R&S, Security and WLAN)

Master Highest level of expertise achieved by partners based on UC or Security networking technology.

Premier Cisco certification badge for a partner based on completing the Express Foundation Specialization

R&S Routing & Switching—devices that route traffic, and establish and terminate connections in the network

Sec. Security—technology that protects the network from unauthorized access.

Select Cisco certification badge for a partner based on completing the SMB Specialization.

Silver Cisco certification badge for a partner based on completing either two Advanced Specializations or the Express UC Specialization and any one other non-UC Advanced Specialization

SMB Small & Medium Business—typically end customers with less than 1,000 employees

Spezn Specialization—badge given to a partner company based on partner employees completing the training and testing required in a specific technology (e.g. UC, R&S, Security or WLAN) at one of three curriculum levels (Express, Advanced and Master)

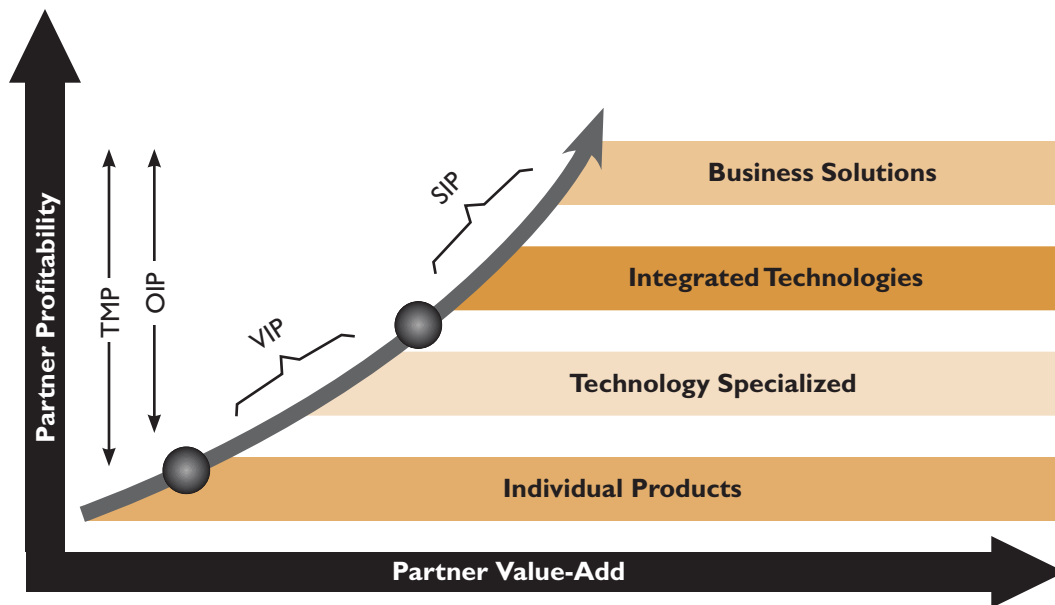
UC Unified Communications—technology that integrates voice, video, data, and mobility in the network

WLAN Wireless Local Area Network—technology that supports wireless access to a local area network

Source: Cisco Systems, Worldwide channels.

favorable environment. Cisco publicizes partner-led solutions on its solution web site and also provides rewards for partner-led solutions. Even though partners do not have geographic exclusivity, partner-developed solutions can provide some exclusivity and help partners recoup their upfront investments.

FIGURE 5. The Structure of Cisco's Channel Incentives Program



Notes:

- OIP Opportunity Incentive Program that rewards partners for hunting for new opportunities unknown to the Cisco sales force
- SIP Solution Incentive Program that rewards partners for packaging Cisco technologies in a business solution for the target end customer
- TMP Technology Migration Program that rewards partners for upgrading the installed base of older Cisco equipment to newer Cisco technology
- VIP Value Incentive Program that rewards partners focusing on specific newer technologies and building services practices around these

Source: Cisco Systems, Worldwide Channel.

Tie Incentives to Value-Add Outcomes

As noted previously, Cisco compensates channel partners who resell Cisco products by providing them with a discount from the list price. This discount is the baseline channel reward and is available to all partners. The company then provides additional rewards to partners based on the following dimensions: opportunity identification, sales of advanced technologies, sales of partner-developed solutions, and upgrading the installed base of older Cisco equipment. The philosophy behind the system is that as a partner pushes on multiple axes, they earn a higher margin. Figure 5 illustrates the reward structure. A partner who sells individual products earns the baseline discount. A partner who is specialized in specific technologies earns additional rebates from the Value Incentive Program (VIP). Partners who create and sell solutions that transform Cisco offerings earn additional discounts from the Solution Incentive Program (SIP). All partners are eligible to earn discounts from the Opportunity Incentive Program (OIP) and from upgrading the installed base through the Technology Migration

Program (TMP). It is important to note that these incentives are transaction specific and so partners get rewarded for the value-add behavior differently depending on the transaction.

Reward New Demand Creation

Partners are rewarded with an additional discount from the OIP program when they uncover new opportunities. This reward is consistent with Cisco's interest in having the channel partner engage in demand creation and strengthening the push aspect of the push-pull mix. Since these types of demand creation activities are subject to "free riding," they require careful implementation. Cisco has set up an opportunity registration process where a partner can register any new opportunities they have uncovered. Once Cisco has verified that this opportunity is not already known to the company from the activities of its own sales teams, the partner becomes eligible for an OIP discount, which is an additional discount on the base wholesale discount for the registered transaction. OIP is paid when the partner makes the purchase for delivery to the end customer. For any given transaction, only one partner is eligible for an OIP discount and this helps the partner retain the extra margin.

Reward Value Creation with Temporally Separated Rewards

The second dimension of reward, called the Value Incentive Program (VIP), is for delivering advanced technologies such as Unified Communications, Security, Wireless LANs, or Data Center. The implementation process for VIP presents a different set of issues compared to OIP. Any channel partner who has obtained the appropriate "specialization" is eligible for a VIP incentive. Since channel partners do not have exclusive territories, it is quite possible that multiple channel partners with the same certification compete for the customer's business. If channel partners are not well differentiated, then such competition for customer business might result in pricing pressure with partners passing through the VIP reward to customers and not retaining it as extra margin. This leads to the phenomenon of profitless sales. The inability to retain margins downstream would not be motivating for a partner who is considering making upfront investments in training and certification to sell advanced technologies.

As this discussion suggests, the key to designing rewards for value-add is to structure them in a way that they are retained by the value-adding partner as margin. The reward structure can be either in the form of a discount or a rebate, but it is important to design these correctly. Cisco pays VIP as a rebate to partners every six months. The experience of Cisco channel managers suggests that rebates that are available to multiple partners on the same deal are more apt to be retained as margin if they are paid outside the normal transaction cycle to the partner and with an element of uncertainty as to whether or not the partner will receive it. Cisco's program pays rebates up to six months in arrears and requires partners to achieve a Customer Satisfaction target metric during the subject rebate period to earn it. All of the VIP rebate during the period can be lost if the Customer Satisfaction target is not met for the subject period.

In addition to measuring Customer Satisfaction targets for the six-month VIP rebate payout, Cisco requires partners to achieve customer satisfaction targets on an annual basis to maintain their Gold, Silver, or Premier status. These customer satisfaction targets are established annually by major geography (called “Theaters” by Cisco). This target must be met by all Gold, Silver, and Premier certified partners within the subject Theater. If a partner does not meet this target in the subject period, then they can no longer continue as a Gold, Silver, or Premier Cisco partner.

Another key issue with respect to the VIP program and the associated training is that the framework should be flexible to accommodate a portfolio of technologies that are in different lifecycle stages. For example, while the market for core routers and switches can be considered mature, the market for other technologies such as Unified Communications is rapidly growing, and a technology such as Data Center is in the emergent stage for Cisco. For emerging technologies, the sales cycle lags the partner investment cycle, and so partners have less of an opportunity to create add-on solutions. Therefore, partner training, certification, and incentives such as VIP play a critical role in motivating partners in the early stages.

The framework also allows Cisco to have different rebates for different technologies to compensate partners for different levels of investments across these technologies and within these technologies, as some products may be less complex than others. These amounts are adjusted every six months based on market conditions and technology maturity.

Reward Partners for Delivering their Own Solutions

The third dimension of reward is the Solution Incentive Program (SIP). This is an extra discount that a channel partner receives for delivering a solution they have developed around Cisco’s technology. As noted earlier, channel managers believe that this is an important value-add and differentiation opportunity for partners. Partner-developed solutions enrich the ecosystem surrounding Cisco products and services and help the company deliver a “full” solution to customers.¹⁷ Since partners have a choice with regard to making these investments, the SIP can be construed as a reward for making these investments. Since these add-on solutions are unique to a partner and help them differentiate, it is less likely that channel partners will wind up giving away this additional margin to win the business. Hence, this discount is offered without a holdback when the registered opportunity is delivered.

Reward Partners for Upgrading the Installed Base

The fourth dimension of reward is upgrading the installed base of older Cisco equipment through the Technology Migration Program (TMP). This program is very unique because it both allows the partner to offer a higher up-front discount to the customer for trading in older gear, but then it separately provides the partner with a back-end rebate for returning this equipment to Cisco. The

latter rebate is extremely important so that the older equipment does not stay with the customer or disappear into the grey market.

These incentives individually and collectively reward partners for specific value-add behavior by improving their profit in the subject transaction. For example, on certain advanced technology products, partners can receive an additional 10 percent rebate through VIP and an additional 10 percent discount under OIP for a total effective incentive of 20 percent additional effective discount over and above the baseline discount. Note that the partner receives the 10 percent OIP discount in the transaction period, and the 10 percent VIP rebate over a six-month period. Figure 5 illustrates that the more a partner pushes on all dimensions of value model, the higher the margin provided. This is how the value model encourages partner profitability through specific value-add activities.

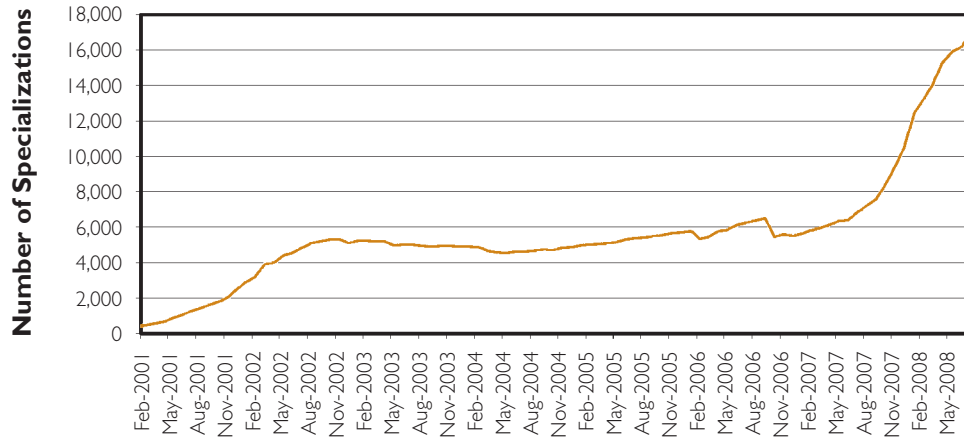
Managers note that there is always significant legacy pressure (by both the larger partners and the account teams that support them) to retain some aspects of a volume-based system. Cisco channel managers believe that it is not possible for the two systems to peacefully co-exist, given the company's experience with the volume model exerting pressure against value-oriented partners. The reason for this is that sales volume can naturally follow the value-add focus of a value-based channel model, but the reverse is not true because volume-based behavior typically lowers street prices and destroys the opportunity for partners to add value to the transaction.

Value-Based Channel Management: The Results

Since its inception, Cisco Systems, Inc. has been collecting some key metrics to assess the performance of the value-based channel model. The eight years of data provide some insights regarding the performance of the channel system such as increased number of channel partners, increased investment made by these partners in Cisco certifications, increased business through channel partners (especially in advanced technologies), and increased customer satisfaction through the channel.

Partner Investments

A crucial starting point but not necessarily a final outcome in this channel system is partner willingness to make investments in training and certification. Figure 6 shows trends in partner specializations over time. After the program was introduced in March 2001, partner specializations showed a sharp increase over a two-year period beginning in March 2001 and ending in February 2003. Within these two years, over 5000 specialization badges had been distributed to partners. Cisco's certifications need to be renewed annually and the continuing data show that partners have continued to invest in training and maintaining their certifications over time. In seven years, Cisco partners had achieved 17,000 specialization badges worldwide.

FIGURE 6. Trends in Partner Specializations

Source: Cisco Systems, Worldwide Channels

Sales Growth

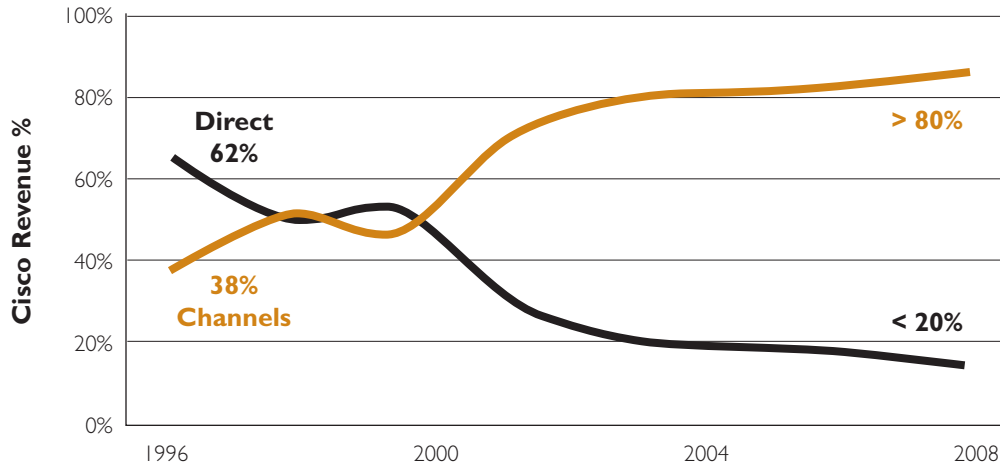
Apart from making these investments, partners have also been able to sell Cisco products and services in increasing volume. Figure 7 shows the relative share of Cisco products and services delivered through channel partners. The company has come a long way since 1996 in terms of its reliance on channel partners. Today, Cisco derives over 80 percent of its revenue through channel partners. In the fast-growing Emerging Markets Theater, which spans 130 countries, the figure exceeds 90 percent.

A crucial objective of the channel management system was to increase the sales of what Cisco calls advanced networking technologies, which include complex solutions such as Unified Communications. Figure 8 shows that the sales of advanced technologies have been increasing as a percentage of Cisco sales. For the fiscal year ending July 27, 2002, Cisco had advanced technology sales of USD \$1.56 billion, amounting to about 9.9 percent of Cisco product sales. By the fiscal year ending July 28, 2008, Advanced Technologies sales had increased to over USD \$9.74 billion, which was 29.4 percent of Cisco product sales. Over this six-year time period, Advanced Technologies have grown at a compounded annual growth rate of 36 percent. While a number of factors influence sales, the value-based channel model has enabled Cisco to leverage partners to scale sales around the world as opposed to adding headcount and resources within Cisco.

Customer Satisfaction with Partners

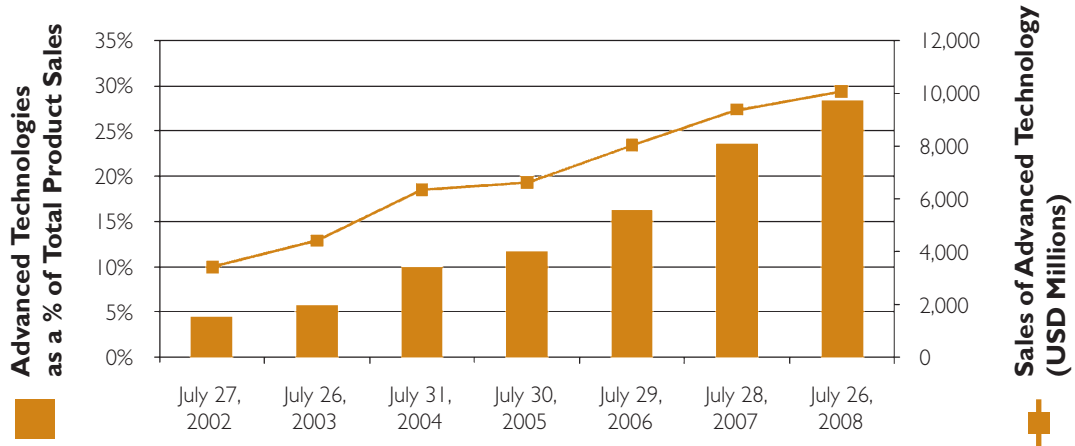
While the data shows that partners have been able to sell Advanced Technologies, it is also important to know if they have been delivering it effectively.

FIGURE 7. Trends in Percentage of Cisco Revenue By Channel



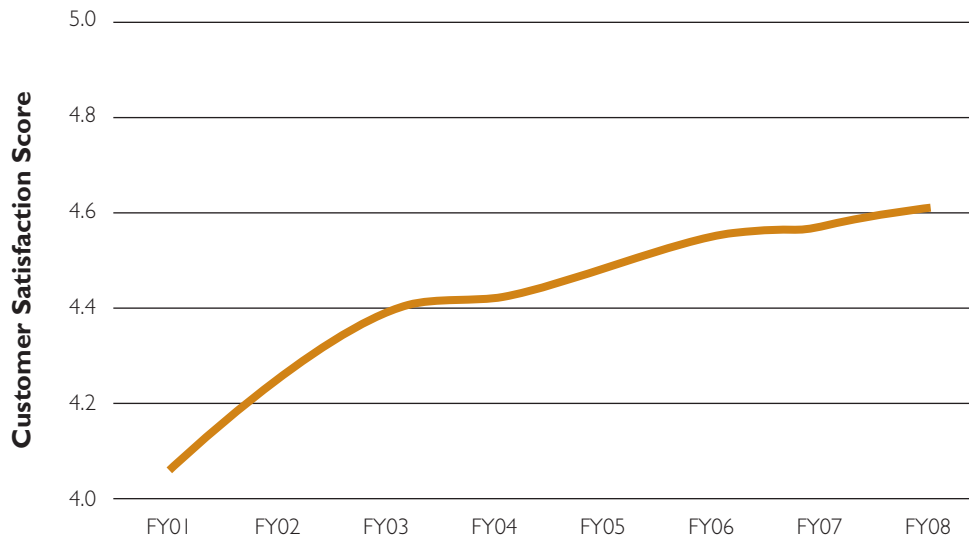
Source: Cisco Systems, Worldwide Channels.

FIGURE 8. Trends in Cisco Advanced Technology Sales



Source: Cisco.Com, 10-K Financial Statements, Section: Business Segment Information

Since the launch of the value-based model, Cisco has consistently used end-customer surveys to measure customer satisfaction with partners throughout the year. The company uses customer satisfaction as a proxy for how effectively the channel partners are delivering value to end users. These surveys are administered by an independent third party and the data are disseminated internally

FIGURE 9. Trends in Customer Satisfaction with Channel Partners

Source: Cisco Systems, Worldwide Channels.

and to channel partners. The company has created a tool called Partner Access Online (PAL), where the partners can access their customer satisfaction scores in real-time. Partners can view only their own results while Cisco employees and field staff can access the results of all partners.

Figure 9 graphs the trends in customer satisfaction since the introduction of this metric into the company's value-based channel program. These customer satisfaction results are remarkable in a number of ways. First, on an absolute scale they compare well with scores reported by the American Customer Satisfaction Index (ACSI) for retail businesses.¹⁸ For example, in FY 2001 the score of 4.06 on a 5-point scale translates to 81.2 percent. For Q4 of 2001, the ACSI reported that Amazon.com with an ACSI score of 84 had the highest score of all businesses. Cisco's channel partner scores compare very favorably against this external standard. For Q4 of 2008, Amazon.com had an ACSI score of 86. For FY 2008, Cisco's channel partners had a score of 4.61, which translates to 92.2 percent.¹⁹ Again in FY 2008, Cisco's channel partners compare very well with what ACSI deems as one of the best businesses. They also compare very favorably with the company's direct sales channels. These achievements are significant both on an absolute scale and in terms of trends. They provide a different perspective to the popular belief that Go-To-Market strategies through channel partners do not result in high customer satisfaction compared to direct channels.

Partner Profitability

One of the key issues in the value-based model is that partners who are adding value and leveraging the offered rewards must be able to retain higher profits compared to partners who are merely fulfilling products. Partner profitability is impacted by numerous factors, such as quality of the partner's management team, the overall competitive environment, and the local market opportunity, to name a few. Nevertheless, the company must develop a rigorous and consistent methodology to measure the true economic profitability of partners and use this as a barometer to adjust its rewards on a continuous basis.

In the case of Cisco, the company uses a Return on Working Capital (ROWC) model to measure the impact of its programs on both the income statement and the balance sheet of its channel partners. This model was introduced to partners in 2003 and measures the economic return that a partner receives from its Cisco business. Cisco not only engages directly with key partners on the ROWC model, but also conducts a confidential annual profitability survey of all partners on a worldwide basis using an independent third party. The overall results of this survey are also shared back with the partners so that they can benchmark themselves against similar partners in their specific geography. The channel team shares this model along with best practices with all partners so that each of them can maximize their own profitability through leveraging available rewards against their own value-add proposition. In addition to financial best practices, the company also shares operational best practices to help their channel partners run as efficiently as possible.

The annual profitability survey has been conducted for five years, providing the company with a rich set of trend data regarding the profit margins of channel partners. The results of these studies show that partners who are providing value and leveraging Cisco incentives are much more profitable than partners who are merely doing fulfillment and not providing additional value in the transaction.²⁰

External Reputation

Cisco's channel programs have continually won awards from channel partners and industry groups such as CRN (Computer Reseller News) magazine and VAR Business every year since 2001. For example, in 2007, the company's channel program won the CRN Channel Champions award in four technology categories and the VAR Business Annual Report Card (ARC) in three technology categories. In 2008, the company's channel program won the CRN Channel Champions award in five categories and the VAR Business ARC award in four categories. Trade press coverage has credited Cisco's channel managers as being "the best team in the business." The press coverage has described Cisco's value-based channel management approach as "breaking away from the pack."²¹

Summary and Key Lessons

This study has examined the value-based channel management system used by Cisco Systems to deliver customized solutions to end users using the VAR channel. This model is very different from conventional channel models that rely on volume-based discounts and exclusive territories. This system has the following components: identifying opportunities for channel value-add; architecting channel programs to enable partner value-add; tying financial rewards to partner value-add outcomes; and exercising significant discipline to manage field pressures for volume-based rewards and diluting certification requirements.

Value-add opportunities for Cisco partners include identifying demand opportunities that are incremental to Cisco's pull marketing, developing competencies in one or more technologies, creating partner-initiated solutions that are delivered in conjunction with Cisco's products, and upgrading the installed base. Partners choose to get trained to achieve technology certifications based on their own customer focus and are then co-branded by Cisco after rigorous training and testing.²² This allows them to differentiate themselves with Cisco-validated certifications and also offer their own custom solutions to end customers built on these technologies.

In the value-based model, channel partners are compensated with incentives that are tied to various types of value-add behavior by transaction as opposed to volume-based models, where the rewards are based on the total volume of a vendor's product re-sold by the partner. Partners choose to obtain certifications in specific technologies and are then rewarded by Cisco for driving business, hunting for new opportunities, providing solutions to end customers, and upgrading the installed older equipment in the customer base. These types of behaviors are separately rewarded and the multiple rewards can be stacked on top of each other.

Furthermore, in order to drive customer satisfaction, the company establishes annual targets and requires channel partners to meet these, both for certification purposes and for earning some of the incentives. To ensure that the rewards do not flow as a discount to the end customer, thereby affecting the street price and are instead retained as margin by the partner, Cisco "holds back" payment of some of the reward so that it occurs several months after the transaction period. Structuring the reward like this also ensures that Cisco gets the result of customer satisfaction for the subject transaction before the incentive is paid out. Holdbacks make partners reluctant to discount their reward because they need to wait for the customer satisfaction result to be assured of receiving the reward.

In the value-add framework, the following key output metrics are monitored: extent of partner investment in Cisco technologies; sales of key Cisco advanced technologies; end-customer satisfaction with the partner on Cisco transactions; and partner profitability. As part of our study we reviewed data on these four key metrics over a multi-year period. The metrics show that partners are increasing and maintaining their upfront and ongoing investments in

training and certification; are selling advanced technologies as evidenced by the increasing share of these in Cisco's mix of sales; are able to sell advanced technologies effectively, as customer satisfaction with partners has been increasing and is very high; and are able to sell advanced technologies profitably by retaining margins that compensate for their technology investment. Today, over USD \$30 billion worth of sales are driven through 280,000 individuals at 55,000 independent Cisco VARs, systems integrators, service providers, and network consultants managed under this channel system.

Cisco's channel management approach has developed a strong external reputation. Cisco has won the annual VAR Business Annual Report Card (ARC) award for eight consecutive years. Cisco has also won the CRN (Computer Reseller News) Channel Champions award for these same eight years, a mark of recognition by the channel industry. Press reports indicate that portions of this channel framework have also been adopted by other industry players such as Microsoft.²³

This study offers a number of practical lessons for channel managers. The experience of Cisco suggests that volume-based incentive models are not structurally well suited to compensate VARs who sell complex technologies without geographical exclusivity. The Cisco experience suggests that volume discounts add to the pressure on channel margins and contribute to a dangerous dynamic which results in profitless sales for partners and a weakening customer experience. This dynamic does not seem unique to the context of Cisco. According to high-technology consultant Seymour Merrin, a similar dynamic took root when the personal computer industry entered a growth stage in 1983. Suppliers who were engaged in a fierce market share battle implemented a volume-based compensation model for dealers. As a result, low-volume dealers were eliminated regardless of their value. Commenting on supplier behavior during this time period, Merrin observed, "Despite virtually all vendors' claims that they wish to support the dealer channel and upgrade competence, every act rewards only volume."²⁴

Another crucial lesson for channel managers is that even for a strong brand such as Cisco, partners can uncover demand opportunities that are not visible to the company. With regard to the overall value-based model, key metrics show that partners can be motivated to make upfront investments, are able to sell complex technology, satisfy customers in a manner comparable to direct sales, and retain profit margins. These metrics are very encouraging. Another useful insight is that the value-based approach seems to provide a workable channel management approach when a company requires channel partners to make upfront investments but cannot assure profit margins with exclusive territories.²⁵

While this study has focused on Cisco Systems, reports in the trade press²⁶ suggest that other major players such as Microsoft are moving toward a similar system. This approach is relevant to other technology companies such as IBM and Hewlett-Packard. Value-added resellers are also an important aspect of the

channel model in many consumer product categories, such as home entertainment, home furnishings, and interior design.

Notes

1. Interview with Keith Goodwin, SVP Worldwide Channels, Cisco Systems, <http://newsroom.cisco.com/dlls/2007/ts_040407.html>, accessed February 24, 2008.
2. Bonoma, for example, argues that field-based case studies are very useful in describing and classifying complex phenomenon and to build theory. Bonoma notes that the study of management of distributor relationships is particularly well suited for case-based research. Thomas V. Bonoma, "Case Research in Marketing: Opportunities, Problems, and a Process," *Journal of Marketing Research*, 22/2 (May 1985): 199-208. Eisenhardt notes that such efforts should be well grounded in existing theory so they can create the appropriate contrasts and lead to theory that is frame breaking. K.M. Eisenhardt, "Building Theories from Case Study Research," *Academy of Management Review*, 14/4 (October 1989): 532-550. Van Maanen notes that it is important to use field research to capture the richness of context so that the research does not become "sterile." John Van Maanen, "Reclaiming Qualitative Methods for Organizational Research: A Preface," *Administrative Science Quarterly*, 24/4 (December 1979): 520-526. Rangan, Corey, and Cespedes use case studies to illustrate the use of hybrid channel arrangements. V.K. Rangan, E.R. Corey, and F. Cespedes, "Transaction Cost Theory: Inferences from Clinical Field Research on Downstream Vertical Integration," *Organization Science*, 4/3 (August 1993): 454-477.
3. A. Rindfleisch and J.B. Heide, "Transaction Cost Analysis: Past, Present, and Future Applications," *Journal of Marketing*, 61/4 (October 1997): 30-54.
4. For example, see V.K. Rangan, *Transforming Your Go-to-Market Strategy: The Three Disciplines of Channel Management* (Boston, MA: Harvard Business School Press, 2006).
5. Background information on Cisco Systems, Inc. obtained from corporate fact sheet downloaded on February 10, 2008. Data on early evolution of Cisco Systems from Jennifer Chatman, Charles O Reilly, and Victoria Chang, "Cisco Systems: Developing a Human Capital Strategy," *California Management Review*, 47/2 (Winter 2005): 137-167.
6. For a discussion of some of the issues related to key account management, see Christoph Senn and Axel Thoma, "Attracting and Managing Customers Isn't the Same When Business Goes Global: Companies Must Be Ready to Adjust," *Wall Street Journal*, March 3, 2007, p. R6.
7. The unbundling of channel functions between a manufacturer and a channel partner has also been discussed as a hybrid channel model. Rangan, Corey, and Cespedes, analyze the unbundling of channel functions between a manufacturer and a channel partner and refer to this as a hybrid channel model. Rangan, Corey, and Cespedes, op. cit. Examples of unbundling of channel functions in the context of electronic markets are discussed by M. Sarkar, B. Butler, and C. Steinfield, "Cybermediaries in Electronic Marketspace: Toward Theory Building," *Journal of Business Research*, 41/3 (March 1998): 215-221.
8. The use of volume discounts as a motivational device is different from other motivations for volume discounts such as channel co-ordination or price discrimination. For a discussion of these other motivations see R.J. Dolan, "Quantity Discounts: Managerial Issues and Research Opportunities," *Marketing Science*, 6/1 (Winter 1987): 1-22.
9. For example, high-tech market guru Geoffrey Moore notes that it is important for companies to consistently maintain their market share position. This will ensure that when the market switches into the tornado phase, the market leader become the Gorilla. See Geoffrey A. Moore, *Inside The Tornado: Marketing Strategies From Silicon Valley's Cutting Edge* (New York, NY: Harper Business, 1995).
10. The percentage of a VAR's revenue that consists of Cisco products varies by geographic theater and certification level. However, Cisco solutions typically represent 50-60 percent of the average VAR's total business—within this, revenue for VAR services is only 20-30 percent on average, the rest is product. So depending on the theater and specialization, the percentage of a VAR's revenue that comes from Cisco products could be in the range of 35-48 percent. This data was obtained from Cisco Systems Worldwide Channels.
11. For details on how Cisco handled this issue, see Kirithi Kalyanam, "Cisco Systems, Inc.: Restoring Partner Profitability in the IT Bust of 2001," Santa Clara University.
12. Data from Chatman, Reilly, and Chang, op. cit

13. G.A. Moore, *Crossing the Chasm: Marketing and Selling High-Tech Products to Mainstream Customers* (New York, NY: HarperBusiness 1999).
14. For a discussion of the push-pull marketing in business markets see G.L. Frazier and J.O. Summers, "Push and Pull Strategies in Industrial Markets: A Normative Framework," in G.L. Frazier and J.N. Sheth, eds., *Contemporary Views on Marketing Practice* (Lexington, MA: Lexington Books, 1987).
15. For example this point is also noted by E. Gerstner and J.D. Hess, "Pull Promotions and Channel Coordination," *Marketing Science*, 14/1 (Winter 1995): 43-60.
16. Specialization, a Cisco term for partners who are trained and certified is conceptually distinct from the definitions of Specialism and Generalism as articulated in the Organization ecology literature. For example, see M.T. Hannan and J. Freeman, "The Population Ecology of Organizations," *The American Journal of Sociology*, 82/5 (1977): 929-964. A partner may obtain several of Cisco's specializations, and in effect become a generalist.
17. One of the earliest references to the whole product concept came from Theodore Levitt, *The Marketing Imagination* (London: Collier Macmillan, 1986). Since then, this concept has been referenced extensively. For a discussion of how this concept applies to high-tech markets, see Moore (1999), op. cit; W.H. Davidow *Marketing High Technology: An Insider's View* (New York, NY: Free Press, 1986).
18. <www.theacsi.org>.
19. See W.A. Hanson and K. Kalyanam, *Internet Marketing & e-Commerce* (Mason, OH: Thomson/South-Western, 2007), also see Chapter 13 for a discussion of Amazon.com's customer satisfaction scores.
20. Based on *Cisco Systems Worldwide Partner Profitability Study*, Multiple Years. These documents are confidential and proprietary to Cisco.
21. See, for example, T.C. Doyle, "The Best Team In The Business?" *VARBusiness*, April 30, 2004.
22. Companies in many industries (ranging from fast food franchising, automobile manufacturing, and high technology) plan and implement training programs for their intermediaries. For example, Culver's Restaurants requires its franchisees to work in company-owned restaurants and at headquarters to learn all aspects of the business. See Erin Killian, "Butter 'Em Up," *Forbes*, June 9, 2003, pp. 175-176. Companies such as Microsoft go beyond training and require third-party engineers to take exams and certify them by formally recognizing them as Microsoft Certified Professionals. Kyocera-Mita commissions J.D. Powers and Company to measure customer satisfaction with dealers. See <<http://usa.kyoceramita.com/KMAGlobalpub/jsp/Kyocera/award1.jsp>>. However, Cisco's approach goes one step further and ties back incentives to both certification and customer satisfaction outcomes.
23. See, for example, Doyle, op. cit.
24. Seymour Merrin, "Shame Shame," *The Channel Marker Newsletter*, 2/5 (1990): 5.
25. For example, Rangan et al. note that the principal empirical result confirms vertical integration. See Rangan, Corey, and Cespedes, op. cit.
26. See Doyle, op. cit.

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